TRADE AND INVESTMENT · STRATEGIC ANALYSIS

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The Terms of Entry

Europe responds to China's success in EVs by setting new terms for market access

Market Access X

The Terms of Entry

Why Europe is conditioning investment by Chinese carmakers rather than taxing their imports, and what the record shows those conditions actually delivered

On February 10, 2026, the European Commission accepted a price undertaking that released one exporter from the countervailing duties on battery electric vehicles (BEVs) built in China. The beneficiary was Volkswagen. The vehicle was the CUPRA Tavascan, built by Volkswagen (Anhui) and sold into the EU through SEAT. In exchange for the duty suspension, the exporter accepted a minimum import price, a cap on volume, sale through a single customer, continued reporting on exports and resales, and binding commitments to invest in battery electric vehicle projects inside the EU against defined milestones. The Commission can nullify the arrangement and reimpose the duty retroactively if the commitments are not met. This report is about what that move reveals: the cost of selling into the European market is migrating from a tariff paid at the border to a set of conditions attached to what a firm does once inside, about what those conditions have delivered the last time they were applied at scale, and about the second jurisdiction now writing rules over the same technology.

Executive Summary

In October 2024, the European Commission imposed definitive countervailing duties on battery electric vehicles (BEVs) from China, at rates up to 35.3 percent on top of the standard 10 percent duty. The duty gives exporters one of three options: pay it; negotiate a price undertaking, returning to the standard duty but accepting conditions on price, volume, channel, and EU investment; or move production to the EU and avoid the duty entirely. Options two and three carry conditions, and those conditions are of a different character from the duty itself. A duty is a finite, priced, border-collected cost. What sits behind the other two options is a set of ongoing obligations about price, ownership, workforce, technology, and sourcing, assessed case by case and enforced through discretionary approval rather than at the border. This shift is happening while Chinese-owned manufacturers gain share in Europe rather than lose it. The instruments are not currently functioning as exclusion. They are functioning as terms.

- **The exit from the duty is a supervised relationship, and the first firm to take it was a European incumbent.** The undertaking accepted in February 2026 carries a minimum import price, a volume cap, single-customer channeling, continuing reporting, and enforceable European investment milestones. Price undertakings are ordinary trade defense practice under Article 13 of the basic anti-subsidy regulation. But in this instance they were unusually accompanied by an explicit link between duty relief and investment conduct.
- **The proposed second gate conditions the investment itself.** The Industrial Accelerator Act, a Commission proposal tabled on March 4, 2026, would require prior authorization for investments above EUR 100 million in four sectors where the investor's home country holds more than 40 percent of global manufacturing capacity. Approval would require a workforce that is at least half EU workers, plus at least three further conditions from an exhaustive list that includes an ownership cap at 49 percent, a joint venture with an EU entity, and licensing of intellectual property and know-how to the EU entity acquired or established.
- **The decision is national, but there is a lever above it.** A member state Investment Authority would issue the reasoned decision. The Commission would hold a call-in power for investments above EUR 1 billion, a two-month delay where a national decision departs from its opinion, and the power to set conditions where

member states disagree. Every significant Chinese automotive and battery investment in the Union announced to date exceeds the call-in threshold, so none of them would sit beyond the Commission's reach.

- **This instrument set has an operating history, and it is more equivocal than either side assumes.** The closest large-scale precedent is China’s own automotive investment regime, which combined an ownership cap, a joint venture requirement, and technology transfer pressure from 1994 until its phase-out between 2018 and 2022. The empirical literature divides on how much it transferred, but converges on two points: the gains reached the joint venture partner rather than the wider industry, and they traveled through worker mobility and supplier networks rather than through the licensing arrangement itself.
- **The Commission has been on both sides of this instrument in seven years.** In its 2019 China strategy it named transfer of key technologies to Chinese counterparts among the onerous preconditions European operators faced in China. In 2026 the Industrial Accelerator Act's own recitals invoke technology transfer as an objective of the conditions it proposes. Reciprocity, the frame that carried the 2019 document, does not appear anywhere in the 2026 recitals or explanatory memorandum. The stated rationale for an instrument is less durable than the instrument, so the operative text is what a firm should plan against.
- **China is writing rules over the same technology, from the other side.** Transferring controlled technology to a European entity requires a Chinese export license, including to a firm's own joint venture. The overlap is currently narrow, since the control reaches only frontier cathode material and the European condition is escapable. But the structure firms use to stay clear of it, assembly abroad and process technology at home, is what the European recitals identify as the problem.

EUR 1bn	50%	40%	1
Commission call-in threshold in the proposed FDI regime; every major Chinese automotive investment in the EU exceeds it	Minimum share of EU workers required in any approved investment under proposed Article 18	Share of global manufacturing capacity an investor’s home country must hold for the proposed FDI regime to apply	Price undertakings accepted in the BEV case as of publication; the beneficiary was Volkswagen

1. The First Company to Leave the Duty Was German

The anti-subsidy proceeding on BEVs from China was opened by the Commission on its own initiative (i.e. without a specific industry complaint) by notice published on October 4, 2023. Provisional duties followed in July 2024. On October 4, 2024 member state representatives meeting under the comitology examination procedure returned no opinion, on a reported vote of ten in favor, twelve abstentions, and five against. Ten fell short of a qualified majority in support and five fell short of a blocking one, which left the Commission free to adopt, and Implementing Regulation (EU) 2024/2754 imposed definitive countervailing duties from October 30, 2024 for five years. The rates run from 7.8 percent for Tesla’s Shanghai production through 17.0 percent for the BYD group and 18.8 percent for Geely to 35.3 percent for SAIC and for non-cooperating exporters, on top of the standard 10 percent duty.

That is a conventional instrument producing a conventional result: a priced, calculable cost applied at the border, uniform in its application to a given exporter, and requiring nothing of the exporter beyond payment.

What followed is where things start to become interesting. In December 2025 the Commission opened a partial interim review to consider an alternative to the duty for one China-built model, proposed by the exporter itself. On January 12, 2026, after an extended negotiation with China’s Ministry of Commerce, it issued a Guidance Document setting out how it would assess price undertaking offers. The Guidance names four elements: the minimum import price, sales channels, cross-compensation, and future investments in the European Union. It sets an equivalence test requiring that any undertaking eliminate the injurious effects of the subsidization and produce an effect equivalent to the duty. Reporting on the mechanics indicates that the minimum price is set per model and configuration, referenced to the net sales price to the first independent Union customer, and derived either from the exporter's investigation-period price plus the duty margin or from the cost of production of a comparable Union-built vehicle plus a reasonable profit.

On February 10, 2026 the Commission accepted the first such undertaking, from Volkswagen (Anhui) Automotive Company and its Union party SEAT. The terms reported include an undisclosed minimum price derived from the second method, a volume limitation, channeling of sales through a single customer, regular reporting on exports and resales, and commitments to significant battery electric vehicle projects in the Union with defined milestones, enforceable by nullification and retroactive reimposition of duties.

Compare the two instruments as a firm would experience them. Under the duty, a firm pays a known percentage and is otherwise unconstrained in how it prices, where it sells, through whom, and what it builds. Under the undertaking, it pays nothing beyond the usual 10 percent duty at the border and accepts constraints on all four. The relief is real, and the exporter gets what it sought. A minimum price can be verified against an invoice, but a commitment to build a plant has to be monitored over years.

Undertakings are routine. The investment milestones are the departure

Price undertakings have been available under Article 13 of Regulation (EU) 2016/1037 for decades and are used across many EU trade defense cases. The elements that are unusual here are narrower and specific: minimum prices set per model and configuration rather than per product, channeling through a named, single customer, cross-compensation monitoring calibrated to an observed shift between vehicle categories, and explicit investment milestones inside the importing jurisdiction as a condition of continued relief. The instrument is routine, but the last of those elements reaches conduct that a border measure cannot ordinarily touch.

2. The Instrument Moves Faster Than the Firms

The duties apply to BEVs and do not reach plug-in hybrid electric vehicles (PHEVs). Chinese export composition has shifted toward the uncovered category, and the Commission's own undertaking framework treats that shift as a live risk: the cross-compensation provisions in the January 2026 Guidance address the possibility that an exporter offsets a constrained price in one category through another product or service. In June 2026 German press reporting indicated that the Commission had opened or was preparing an anti-subsidy proceeding on PHEVs from China.

The sequence is worth naming precisely, because it governs how a firm should read every measure described here. A trade instrument is defined by product scope, exporters reorganize around that scope, and a new instrument follows the reorganization. None of this requires a claim about intent on either side; it is the ordinary consequence of a category-defined measure meeting a producer with an adjacent category available. What follows for a firm making a sourcing or investment decision is that the scope of a current instrument is a poor guide to the scope of exposure. A product sitting outside the duty today does so because the proceeding that produced the duty examined a different product, not because anyone judged the adjacent product unproblematic.

On the plug-in hybrid proceeding, the evidence stops short

The reports originate in German press coverage of June 19 and 20, 2026 and were carried by specialist outlets from there. No Notice of Initiation appears in the Official Journal C series and none is listed on the DG Trade case pages, so the proceeding should be treated as reported rather than confirmed until a notice is published.

3. The Second Gate: Conditions on the Investment Itself

The response the duty was designed to induce is production inside the EU, and that response is under way. BYD's plant at Szeged in Hungary, at an announced value of roughly EUR 4 billion, began trial production in January 2026. CATL's cell plant at Debrecen, announced in August 2022 at EUR 7.34 billion for 100 gigawatt hours, has run module assembly since autumn 2024, with cell production not yet started as of June 2026. A CATL joint venture with Stellantis at Zaragoza in Spain, announced in December 2024 at up to EUR 4.1 billion, broke ground in November 2025. Chery is producing at the former Nissan site in Barcelona. Analysis published by Bruegel finds that Chinese companies are responsible for more than two thirds of the battery cell facilities currently under construction in Europe.

On March 4, 2026 the Commission tabled a proposal that would attach conditions to that category of investment. The Industrial Accelerator Act, COM(2026) 100 final, is a legislative proposal under the ordinary legislative procedure. At the time of writing, it has not yet entered into force. The analysis that follows is based on a text that may still be amended by the Parliament and Council.

Chapter IV of the proposal would establish a screening regime distinct from the existing security-based framework, and that distinction has since become sharper. Regulation (EU) 2026/1386, adopted on June 17, 2026, requires every member state to operate a screening mechanism over a common minimum scope covering defense and dual-use items, semiconductors, artificial intelligence, strategic raw materials, and financial services. Automotive and batteries are not in that minimum scope, which is why the sector this report concerns is reached by a separate instrument with its own sectoral trigger rather than by the general screening regime. Chapter IV applies where two thresholds are cumulatively met: the investment exceeds EUR 100 million, and the investor originates from a third country accounting for more than 40 percent of global manufacturing capacity in the relevant sector. The covered sectors under Article 17(2) are battery technologies including the battery energy storage value chain; pure electric, off-vehicle-charging hybrid and fuel cell electric vehicles including electrification and digitalization components; solar photovoltaics; and the extraction, processing, and recycling of critical raw materials. Greenfield investment is within scope. Control is defined at 30 percent of share capital or voting rights, or 30 percent ownership of an EU asset. The regime is suspensory: a covered investment may not be implemented without explicit approval.

Article 18, which covers value added foreign direct investment criteria, sets out what approval requires. One condition is mandatory in every case: a workforce of at least 50 percent EU workers. At least three further conditions must be met from an exhaustive list of five. Those five are an ownership cap at 49 percent or below; a joint venture with a Union entity in which the foreign holding stays at 49 percent or below; licensing of intellectual property and know-how to the Union target, with joint ownership of jointly developed intellectual property; research and development expenditure of at least 1 percent of the EU target's gross annual revenue; and a published strategy to source at least 30 percent of inputs from within the EU.

The procedural architecture is tight. Admissibility runs 30 days with a possible extension of 15. The Commission may issue a written opinion within 30 days. The national authority must issue a reasoned decision within 60 days, extendable to 75, with a further 30 possible. Penalties under Article 22 include fines of not less than 5 percent of average daily aggregate turnover for a notification breach, 5 percent of investment value for a private-person investor, and remedial powers extending to divestiture. Judicial recourse is provided.

The FDI chapter of the draft Act is where the fighting is

The Industrial Accelerator Act is at an early stage of the ordinary legislative procedure. It is allocated to a joint committee of ITRE, IMCO, and INTA under Rule 59, with co-rapporteurs from three political groups. The Parliament held a joint committee debate on June 2, 2026, with draft reports expected after the summer. The Council held a first policy debate on May 28, 2026, and the Presidency circulated a partial compromise on Chapter IV on June 26, 2026, which by its own terms does not cover the recitals. Adoption before 2027 is not realistic on this record. The scope of European preference is contested between member states favoring a narrow Union-only rule and those favoring a wider formulation including trusted partners, and the WTO consistency of the investment conditions is questioned by external analysts. A firm planning against this instrument is planning against a moving text.

4. Who Decides, and the Lever Above Them

A nationally administered approval regime sounds like national governments deciding. In this one the member state issues the decision and the Commission holds the power to take the case away.

Under the proposal as amended by the Council Presidency compromise, the member state Investment Authority issues the reasoned decision approving or declining the investment. The Commission may issue a written opinion, which is not binding, though the Investment Authority must justify how it took the opinion into account. Three further mechanisms qualify the national role. The Commission holds a call-in power exercisable on its own initiative where the investment exceeds EUR 1 billion in value, or shows high potential to disrupt security of supply, or has significant impact on added-value creation, and exercisable at the request of one, or of three or more, Investment Authorities. Where a national decision departs from a Commission opinion, its entry into force is delayed by a further two months of assessment. And where a target spans several member states whose authorities disagree, the Commission decides which conditions apply.

Now apply the EUR 1 billion figure to the investments described in the previous section. BYD at Szeged, CATL at Debrecen, and the CATL and Stellantis joint venture at Zaragoza each exceed it by a multiple. The threshold at which the Commission may take a case out of national hands is set below the value of every announced Chinese automotive and battery investment of consequence in the EU.

That arithmetic answers the strongest objection to the whole regime. If the member states holding the decision are competing for the investment, the conditions may not bind at all. Hungary and Spain host the largest of these projects and have supported them, and an authority that courted a plant has little incentive to impose conditions on it once built. The Commission reached the same conclusion when it chose between a voluntary and a mandatory regime. Its impact assessment rejects the voluntary option on the ground that companies can avoid obligations by choosing more permissive member states, that this enables regulatory arbitrage, and that a voluntary approach would not prevent a race to the bottom across the single market. Host-state capture is not an objection the proposal overlooked but the reason its conditions are mandatory, and the call-in threshold set at EUR 1 billion, the delay triggered when a national decision departs from a Commission opinion, and the Commission power to set conditions in multi-state disputes all follow from it. Whether they survive negotiation between Parliament and Council is another matter.

The regulatory position tightened while the commercial position improved

Nothing in this report should be read as describing a market being closed. Chinese-owned auto manufacturers gained ground in Europe throughout the period in which these instruments were assembled. On an ownership basis, the five largest Chinese-owned groups reached approximately 11 percent of registrations across the EU, EFTA, and the United Kingdom in the first half of 2026, on 791,958 units. BYD registered 174,144 units in the EU over the same period, overtaking Tesla. Measured on a brand basis rather than an ownership basis, which is a different and non-comparable series, Chinese brands were around 6 percent of EU registrations in the first four months of 2026 against 3.2 percent a year earlier. These two bases should not be combined, since the ownership series includes Geely-owned European marques. Brussels' response, as described in this report, is less a barrier to entry than a set of terms attached to continued success.

5. What These Conditions Produced Last Time

The conditions in Article 18 are not new as a set, and the Commission does not present them as new. Its impact assessment records that over past decades China applied investment conditionality in automotive, solar and wind, restricting market access to joint ventures with Chinese partners, often under majority Chinese control, while requiring foreign companies to transfer technology, establish local research and innovation, source components locally, and comply with data localization and security reviews. The same passage states that these conditions enabled Chinese firms to absorb foreign know-how and scale up domestic capabilities, and a dedicated annex surveys third-country investment conditionalities. The precedent is therefore not an analogy imposed from outside but the Commission's own, which gives the proposal something most new instruments lack and raises the question the assessment does not itself answer: what did those conditions produce?

The Chinese regime should be described precisely, because it is frequently described loosely. The 1994 Automobile Industry Policy, issued by the State Planning Commission, capped foreign ownership in automotive manufacturing at 50 percent and limited a foreign manufacturer to no more than two joint ventures for any single vehicle type. Domestic partners were in practice the large state-owned groups. A domestic content requirement of 40 percent or more applied under the same policy and was eliminated on WTO accession in December 2001 under the TRIMs Agreement and China's Accession Protocol. Technology transfer, by contrast, was not a codified statutory command. It operated through the joint venture structure, administrative review, and licensing and approval practice, which is how the United States Trade Representative described it in the 2018 Section 301 findings. The caps were phased out between 2018 and 2022, ending for passenger vehicles on January 1, 2022, when the two-joint-venture limit was also lifted.

That distinction matters for the comparison. China's technology transfer pressure operated through approval practice and negotiation rather than statute, while the proposed Article 18 licensing condition is codified text with a defined trigger. On this point the European instrument is the more explicit of the two.

The more important question is what the arrangement delivered, and here the empirical literature is divided rather than settled. Several peer-reviewed studies find large positive spillovers from the joint venture structure, and the strongest of them are set out in the box below. Against those, a 2018 study in Research Policy finds the requirement reduced quality among affiliated firms, and a 2025 American Economic Review paper isolating the affiliation-specific channel finds it accounts for 8.3 percent of the quality improvement in affiliated domestic models between 2001 and 2014. The studies measure different outcomes over different periods and cannot honestly be reduced to a single range.

Two findings do run across the literature, including the studies reporting the largest effects. Transfer to genuinely independent domestic firms was weak, or reached them only indirectly through affiliated brands acting as conduits. And the dominant transmission channel was the movement of workers and the development of shared suppliers rather than the licensing or equity arrangement itself: the American Economic Review study attributes up to 54 percent of the spillover it measures to worker mobility, and the wider foreign investment literature identifies labor mobility as a primary channel in its own right. What carried capability was engineers leaving joint ventures and supplier networks maturing around them.

That is consistent with where Chinese automotive capability visibly came from, though the evidence on this point is case-study rather than econometric. A firm-level study of BYD and CATL published in 2025 argues that the market-for-technology approach did not indigenize technology inside the joint ventures, but that foreign investment built local supply chains and trained Chinese engineers, and that both were essential to the independent automakers that followed. BYD began as a battery manufacturer outside the structure. Geely acquired capability substantially by buying Volvo in 2010. The new energy vehicle entrants developed outside it, during a transition in which new energy vehicles rose from 5.4 percent of total Chinese vehicle sales in 2020 to 40.9 percent in 2024. The state-owned joint venture partners are not the firms that took the market.

The outcome for the foreign parties is a separate matter and is not in doubt. General Motors' China share including joint ventures fell from roughly 15 percent in 2015 to 8.6 percent in 2023, and its China equity income fell from a peak above USD 2 billion in the middle of the last decade to roughly USD 446 million in 2023. Volkswagen lost its long-held China sales lead to BYD in 2024 and fell to third in 2025, with the retail share of its FAW and SAIC joint ventures falling from 12.2 to 10.9 percent, and the operating result share from its equity-accounted Chinese companies falling by around 45 percent in 2025 to EUR 958 million. Chinese brands reached 69.5 percent of the domestic passenger vehicle market in 2025. Worth noting alongside those figures is that the characterization of the regime as coercive is largely retrospective and dates to the period after 2017; for the preceding thirty years the same firms described the conditions publicly as the price of access to the most profitable market either the large American or the large German groups had.

What follows for a firm reading Article 18 is narrower than either side of that literature would suggest on its own. The evidence that a joint venture partner gains capability is strong. The evidence that the gain reaches the wider domestic industry is weak, and the channels that did carry it, worker mobility and supplier development, are not things a licensing clause creates. Recital 28 claims the conditions serve added value creation and supply security for the Union, which is a claim about the wider European economy rather than about the Union target that receives the license. A firm should expect the licensing condition to do something for the entity on the receiving end and should treat the broader objective as unproven on the single occasion this instrument set ran at scale.

Read against that record, the six criteria are not equally well aimed. The licensing condition addresses the channel the evidence identifies as the weakest, since a license transfers a defined body of intellectual property and know-how rather than the people and supplier relationships that carried capability in the Chinese case. The mandatory Union workforce requirement, the research and development floor set against the Union target's own revenue, and the published strategy to source at least 30 percent of inputs from the Union all bear directly on those channels: who is employed and trained inside the Union, where development work is done, and which suppliers grow around the plant. On the historical evidence the workforce, research and sourcing conditions are the better instruments and the licensing condition is the weaker one, which is close to the reverse of where commentary on the proposal has concentrated. The impact assessment does engage evidence on how transfer happens, citing empirical work on foreign entry and local innovation and on where multi-stage production places its high-value stages. But it ties that evidence to the case for conditioning investment in general rather than to any individual criterion, worker mobility appears nowhere in it as a spillover channel, and none of the six thresholds carries a published derivation. The workforce condition is framed around skills and training rather than as a mechanism of knowledge transfer, which is the channel the automotive evidence puts first. Parts of the assessment, including the annex dealing with the criteria themselves, could not be examined, so this describes the readable material rather than the whole document.

The Commission's own Regulatory Scrutiny Board made a related point from inside the process. It returned a negative opinion on the impact assessment in September 2025 and cleared it with reservations in November, recommending that the selection of measures be grounded in available evidence on the short and medium-term benefits of public intervention, and that the investment analysis in particular be improved through quantitative modelling with transparent assumptions.

The strongest case that the requirement worked

The strongest published case against a modest reading is that the joint venture structure transferred large capability. Jiang, Keller, Qiu and Ridley, in the Journal of International Economics in 2024, use administrative data on all Chinese international joint ventures from 1998 to 2007, correct for partner selection, and find joint ventures about 30 percent more productive than other domestic firms, their Chinese partners about 5 percent more productive, and joint venture externalities approximately as large as those from wholly foreign-owned investment. In the automotive sector specifically, Liang, Qiu and Xiao estimate that spillovers account for 57 percent of the cost reduction achieved by joint-venture-affiliated indigenous brands. On that evidence the requirement worked, and a report asserting otherwise would be selecting from a divided field.

6. The Other Jurisdiction Is Legislating on the Same Question

Everything described so far concerned the EU's response to the success of China's electric vehicle sector. But the EU is not the only political body regulating the transfer of Chinese manufacturing technology. Beijing operates its own controls over the same transfers, running in the opposite direction, and a firm presented with the Article 18 licensing condition would be subject to both at once. That second regime determines whether the condition can be satisfied at all, and it is rarely addressed alongside the European proposal.

The Chinese instrument is the Catalogue of Technologies Prohibited or Restricted from Export, issued jointly by the Ministry of Commerce and the Ministry of Science and Technology. An amendment of July 15, 2025 added an entry covering battery cathode material preparation technology and five control points covering lithium extraction and processing. A restricted listing is not a prohibition. It is license administration: the Chinese party must obtain ministry authorization, and the contract effecting the transfer does not take effect until the license is issued. No standard for grant or refusal is published beyond general reference principles, and no approval-rate data for this category is as yet public.

The provision that matters most for a firm structuring a European investment is what the regime does not contain. There is no intra-group exemption. The governing regulations define a technology export by the direction of the cross-border transfer and by the mode, listing trade, investment, and economic and technical cooperation, and naming patent licensing, assignment of technical secrets, and technical services among the covered forms. The trigger is the border crossing, not the relationship between the parties. A manufacturer licensing controlled technology to a European joint venture it controls requires the same authorization as one licensing to an unrelated party, and practitioner treatment of joint venture agreements as a covered form of technology export contract is consistent across firms. The European condition pushes toward a Union entity in which the foreign holding is 49 percent or less, which makes the recipient more clearly a separate foreign counterparty, not less.

The evidence shows a pattern of structuring that keeps the controlled steps at home. BYD assembles at Szeged from knocked-down content. CATL has run module assembly at Debrecen since autumn 2024, with cell production not started as of June 2026 and Mercedes-Benz sourcing cells from China in the interim. Ministry guidance to automakers in July 2024 is reported to have encouraged the export of knocked-down kits for overseas assembly. And CATL's license and service model, used with Ford in Michigan and discussed with a number of other manufacturers, operates a foreign plant while the licensor retains ownership of the underlying technology and collects patent and service fees. The Commission’s impact assessment describes the same pattern from the other side, recording Chinese investment in the Union as largely focused on assembly and final integration with limited technology transfer, and citing the Tesla and CATL arrangement in the United States as a case where incentives were tied to local content and to transfer.

The arrangement firms have adopted is the arrangement the European proposal was drafted to change. Recital 28 identifies precisely the risk that added value creation remains outside the Union and that investments failing to provide sufficient Union participation and technology transfer hamper supply security. The two jurisdictions are not in collision, because neither regime currently forecloses the other, for two reasons set out below. They are legislating in opposite directions about the same object, which is where the technology sits, and the structure a firm has built to satisfy one is the structure the other exists to dismantle.

Both governments are now in the approval path for the same transactions. The announcement of the Zaragoza joint venture noted that it was subject to approvals from the Chinese and the Spanish governments. On October 15, 2025, in comments reported in connection with European officials floating technology transfer preconditions for Chinese investment, a Chinese foreign ministry spokesperson stated opposition to forced technology transfer contrary to World Trade Organization rules and to protectionist and discriminatory practices adopted under the pretext of enhancing competitiveness.

The controlled item is narrower than the headline

The catalogue entry is technically specific and does not reach most of what a European plant would need. It controls lithium iron phosphate preparation only above a powder compaction density of 2.58 grams per cubic centimeter at 220 megapascals, together with reversible capacity and coulombic efficiency thresholds, which corresponds to the frontier of the material rather than the second-generation grades in general commercial use at roughly 2.40 to 2.50. Chinese industry commentary reads the revision as aimed at next-generation technology rather than at what already exists in the market. Cell and module manufacturing process technology, vehicle electric drive and control technology, and anode, separator and electrolyte technology are not listed at all. On the current catalogue, a European plant producing standard material or assembling cells and modules would fall outside the control entirely.

And the licensing condition can be avoided

Article 18 requires the mandatory workforce condition plus at least three of five further conditions, so licensing is escapable. A firm unable or unwilling to license can instead combine the ownership cap, the joint venture, the research and development floor, and the input sourcing strategy, and never reach the licensing criterion. The condition also does not specify which technology must be licensed, so a firm could satisfy it with mainstream or peripheral technology that no Chinese control touches. The two regimes therefore bind together only in a narrow case: where a firm needs the licensing route to clear the European threshold and the technology the Union entity requires is the controlled frontier process. That case is real but narrow, and it does not describe the position most firms are in today.

7. What the Instrument Says and What the Framing Says

There is a documentary sequence here that a firm reading these instruments should have in view, because it demonstrates how quickly the stated rationale for an instrument can move while the instrument stays in place.

In March 2019 the Commission and the High Representative published *EU-China: A Strategic Outlook*. Reciprocity is one of its three stated objectives and the subject of its fourth section. The document sets out what the EU objected to in China’s system: selective market opening, licensing and other investment restrictions, subsidies, closure of the procurement market, localization requirements including for data, and favoring of domestic operators in the enforcement of intellectual property. It states that European operators had to submit to onerous requirements as a precondition of market access, and it names two: creating joint ventures with local companies, and transfer of key technologies to Chinese counterparts.

In June 2020 the Commission published its White Paper on levelling the playing field as regards foreign subsidies. The operative frame there is distortion of the internal market rather than reciprocity, and the text is country-neutral throughout. Reciprocity survives, but is demoted into an assessment factor: whether a beneficiary has privileged access to its domestic market through measures equivalent to special or exclusive rights, producing an artificial advantage leveraged inside the Union and aggravating the distortive effect. That White Paper produced the Foreign Subsidies Regulation, in force since 2023.

In March 2026 the Commission proposed the conditions described in section 3. A full-text search of the English text of the proposal establishes that reciprocity and reciprocal do not appear in its recitals or explanatory memorandum, and neither do mirror, mutual openness, or symmetry. Level playing field appears once, in the explanatory memorandum, concerning subsidized overcapacity in net-zero technologies rather than the investment conditions. The proposal does not cite the International Procurement Instrument and does not cite the 2019 Strategic Outlook. Its stated lineage runs instead through the Draghi report, the Clean Industrial Deal, the European Economic Security Strategy, and the Automotive Action Plan.

What the recitals do say is the part worth reading closely. Recital 28 justifies the conditions on the ground that unconditioned investment risks added value creation associated with strategic technologies remaining outside the Union, and states that where such investments do not provide for sufficient Union participation and technology transfer, the long-term supply security of the emerging strategic sectors is hampered. Recital 41 justifies the joint venture condition as contributing to the strategic autonomy of the Union and ensuring value added to the internal market. Recital 42 justifies the licensing condition by reference to whether the transfer of technology can contribute to achieving the objectives.

Set the two documents side by side. In 2019 the transfer of key technologies to the host country appears in a Commission document as a grievance. In 2026 technology transfer to the host jurisdiction appears in a Commission document as an objective. The institution is the same, the term is the same, and the position of the Union relative to the instrument has changed. The 2026 impact assessment closes the loop by naming China’s regime as the precedent and crediting it with enabling Chinese firms to absorb foreign know-how. One set of instruments appears in Commission documents seven years apart, first as what was done to European firms and then as what should be required of foreign ones.

Why the framing moved matters less to a firm than the fact that it moved at all. Reciprocity carried the argument in 2019, distortion carried it in 2020, and added value and supply security carry it now, while the instruments accumulated underneath all three. A planning assumption built on how a measure is described is built on the part most likely to be replaced. The operative articles are what a firm will still be complying with after the justification has changed again.

Which conditions are most exposed to challenge

The six Article 18 conditions are not equally vulnerable to legal attack, and a firm assessing which are likely to survive should note where the disciplines actually bite. The TRIMs Agreement disciplines local content and trade-balancing requirements, but equity, joint venture, and technology transfer requirements were excluded from its coverage during the Uruguay Round negotiations. On that reading, the condition most exposed to a TRIMs or national treatment challenge is the 30 percent Union input-sourcing strategy, while the ownership cap, the joint venture condition, and the licensing condition sit largely outside those disciplines. This is external analysis rather than a Commission legal conclusion, and it is contested. It also cuts awkwardly: on the historical evidence the input-sourcing condition is among those best aimed at the channels that carried capability, and it is the one most exposed to challenge. A separate question, which this report cannot resolve, is whether the free movement of capital to third countries under Article 63 of the Treaty explains why the conditions reach production, workforce, research, and sourcing but not the repatriation of profit. The Commission identified Article 63 as a design constraint on foreign-subsidy instruments in its 2020 White Paper. Whether it was assessed and relied on in the design of Article 18 could not be established from the published impact assessment materials and is reported here as an open question rather than as an explanation.

Forward-Looking Implications

The following distinguishes what is already in motion from what depends on variables that remain open. It is a horizon map, not a forecast.

Actor	Near term (2026)	Medium term (2027 to 2028)	Longer term
Firm exporting covered products to the EU	Duty in force to October 2029. Undertaking route open, but terms are set case by case and the only accepted precedent carries investment milestones. Product scope is unstable; the plug-in hybrid category is reportedly under examination.	Whether a second undertaking is accepted, and on what terms, determines whether the first was a template or an outlier. Expiry review of the duties falls due before October 2029.	Border-collected cost is the smaller and more predictable part of exposure. The conditional layer is where the variance sits.
Firm investing in covered sectors inside the EU	No FDI conditionality in force. Announced projects proceed under existing national and security screening. Planning should assume the conditions arrive in some form rather than not at all.	If enacted, prior authorization becomes suspensory above EUR 100 million. Structuring decisions taken now on ownership, workforce, and sourcing determine which criteria a project can meet later.	Conditions attach to the investment, not the shipment. The relevant compliance function moves from customs and trade to corporate structuring.
Host member state governments	Chapter IV under active redrafting in Council. Hosts of the largest projects have incentives that run against strict application.	Whether the Commission call-in and divergence-delay mechanisms survive determines whether host-state discretion is real or supervised.	The unresolved question is not whether member states decide, but how far a Commission lever above them constrains what they decide.
The Commission	Guidance issued, first undertaking accepted, proposal tabled, plug-in hybrid proceeding reported. Foreign Subsidies Regulation enforcement remains thin, with two ex officio in-depth cases to date.	Trilogues on the Industrial Accelerator Act. Interaction with Regulation (EU) 2026/1386 on the screening of foreign investments, adopted June 17, 2026 and published June 26, 2026, which repeals Regulation (EU) 2019/452 with effect from January 17, 2028. Certain provisions apply from July 16, 2026.	An instrument set assembled piece by piece over roughly a decade, each piece justified on its own terms, with no single document stating the whole.

Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The logic applies wherever in an organization these questions are being asked.

01 Establish whether your exposure sits at the border or at the investment

These are different exposures with different owners inside a firm. Border exposure is a duty rate, calculable in advance, managed by trade compliance. Investment exposure is a conditional approval, negotiated case by case, and it reaches ownership structure, hiring, research spend, intellectual property, and procurement. Most firms have a function that owns customs and trade compliance, but none that owns investment screening. Determine which of your revenue depends on each before anything else.

02 Price an undertaking as a supervised relationship, not as a cheaper duty

The accepted undertaking removes the countervailing duty and substitutes a minimum price, a volume cap, a named sales channel, continuing reporting, and enforceable investment milestones, with retroactive duty reimposition available on breach. Calculating the duty saved is straightforward, but the harder question is whether the firm can operate under price and channel discipline for the life of the measure. and whether the investment commitments still make commercial sense by the time the milestones fall due.

03 Test a planned investment against both thresholds, not only the EUR 100 million one

Two thresholds matter in the proposed regime and they do different work. EUR 100 million brings an investment into scope. EUR 1 billion brings it within the Commission's call-in power, which means the decision may not stay with the national authority a firm has been dealing with. Any project above the higher figure should be planned on the assumption that two decision-makers may be involved.

04 Structure now for criteria you may have to meet later

Four of six conditions must be met, one of them mandatory. Ownership percentage, workforce composition, research and development spend as a share of the target's revenue, intellectual property arrangements, and input sourcing are all easier to establish at the point of formation than to retrofit under a suspensory approval process with a 60-day clock. This is true even though the instrument is not law, because optionality costs little at formation and a great deal once an approval is running.

05 Do not price the conditions on their stated objective

The recitals describe the conditions as securing added value, technology retention, and supply security for the Union. In the one case where this instrument set ran at scale, the empirical literature divides on how much was transferred, but converges on two points: the gains accrued to the joint venture partner rather than to the wider industry, and they traveled through worker mobility and supplier development rather than through the licensing arrangement. Price the conditions on their observed cost, which is documented, rather than on a broader effect the precedent does not establish.

06 Treat the thresholds as negotiable and the criteria as unequal

The six criteria are not equally well aimed at the objective the recitals claim for them. The workforce, research and sourcing conditions bear on the channels the evidence credits, and the licensing condition does not. None of the six thresholds carries a published derivation either: the 50 percent workforce share, the 1 percent research floor, the 30 percent sourcing share, the 49 percent ownership ceiling, the EUR 100 million entry point and the 40 percent capacity trigger all appear as asserted policy choices, and the Commission's own Regulatory Scrutiny Board asked for the analysis behind the investment measures to be strengthened. Figures without a stated derivation are the figures most likely to move in negotiation, so a firm structuring now should build to the criteria rather than to the numbers attached to them.

07 Read the recitals and the articles, not the communication

When a proposal changes, what changes first is usually the reasoning offered for it. Set your compliance and structuring assumptions against the operative articles and the thresholds they contain and treat Commission communications and the political argument around a measure as context rather than as planning inputs. A map built from the text survives a change of justification; a map built from the framing has to be redrawn each time.

Indicators to Watch

These are operational triggers, each a specific observable that resolves a question this report leaves open.

01 Publication of a Notice of Initiation on plug-in hybrids in the Official Journal

The plug-in hybrid proceeding is currently supported only by press reporting. A notice in the C series would confirm it and would establish that the instrument follows the trade rather than the reverse. Continued absence over the coming months would suggest the reports were premature.

02 Parliament draft reports and a Council general approach on Chapter IV

The joint committee draft reports were expected after the summer of 2026, and the Council has been redrafting Chapter IV since June. Whether the call-in power, the divergence-delay mechanism, and the mandatory workforce condition survive these two processes determines whether the regime described in sections 3 and 4 is the regime that arrives.

03 A second accepted price undertaking, and whether its terms include investment milestones

One accepted undertaking is a case. A second would show whether the investment-milestone linkage in the Volkswagen Anhui terms is a general feature of the Commission's approach or specific to that exporter. Watch DG Trade's news page for acceptance notices.

04 The first Investment Authority decision under an enacted Chapter IV, and whether the Commission calls it in

If the regime is enacted, the first substantial decision will show which of two readings is right: national authorities applying Union criteria with real discretion, or national authorities operating under an effective Commission override. A call-in exercised on a large project would settle the question quickly. A large project cleared nationally without Commission intervention would settle it the other way.

A duty is a price. What is replacing it is a set of terms. The European Union has not decided to keep Chinese vehicles out, and the registration data shows it has not achieved that outcome either. It is deciding what a firm must do inside the Union in order to sell into it, and it is placing that decision with national authorities operating under criteria written in Brussels, with a lever above them for the largest cases. The conditions being proposed have been applied at scale once before, in the other direction, and the record of what they produced is more equivocal than either the firms subject to them or the governments imposing them tend to assume. A firm making a European investment decision in a covered sector should price the conditions as a real and enforceable cost, establish whether the other jurisdiction leaves it free to satisfy them, decline to price them on a transfer effect the precedent does not establish, and read the operative text rather than the framing that arrives with it.

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